Segmentation Concepts and Cases

Marketing Management · Week 2

Marketing Principle #1: All customers differ

Yixing Chen

Agenda

01 **Customer heterogeneity**
Why customers differ, visible and latent differences, and the managerial risk of serving everyone.

02 **Managing differences**
The shift from mass markets to smaller groups and personalized offers.

03 **STP and analytical tools**
Segmenting, targeting, positioning, factor analysis, clustering, and classification.

04 **Customer centricity**
How organizations keep customer knowledge current and translate it into action.

05 **Integrated framework**
Inputs, outputs, process, and an end-to-end example.

06 **Takeaways**
The decisions and evidence needed to manage customer heterogeneity.

All Customers Differ

Customer heterogeneity is variation in needs, preferences, constraints, behavior, and response to marketing activity.

- Customers buy the same category for different jobs, benefits, identities, and situations.
- Firms increasingly move from mass marketing toward niches and customer-level personalization.
- Smaller groups improve fit, but increase operating cost and coordination complexity.
- A broad-market firm becomes vulnerable when specialists serve attractive subgroups better.
- The central decision is which differences justify a different offer, message, channel, price, or service model.

A customer difference matters when it changes what the firm should do.

Example: Sears & Roebuck (US)

- The “Big Book” catalog offered a very broad assortment intended to provide something for nearly everyone.
- Category specialists gradually selected attractive subgroups and designed more focused offers for them.
- Sears retained a more diverse portfolio that was harder to understand, serve, and renew.
- The pattern illustrates a recurring risk: specialists can remove the most profitable niches from a mass-market business.

Case logic

Broad coverage created scale. Focused competitors created a better fit.

The lesson concerns customer selection and operating design, not simply the decline of one retailer.

In Class Exercise on Customer Heterogeneity

Write down your favorite retailer and the two most important reasons you prefer it.

1. Compare your answers with two classmates.
2. Which benefits appear in all three answers? Which benefits conflict?
3. Could one retailer deliver all of these benefits equally well and profitably?
4. Which group does each retailer appear to serve?
5. How do the target customers of a low-price retailer differ from those of a premium service retailer?

5 Sources of Customer Heterogeneity

Individual differences

Resources, abilities, personality, tastes, and tolerance for risk.

Life experiences

Past choices and events shape expectations, habits, and reference points.

Functional needs

Customers use the same category to solve different practical problems.

Self-identity

Choices can express status, values, belonging, or a desired self-image.

Marketing activity

Information, persuasion, social proof, and prior experiences change which benefits customers notice and value.

These sources interact. A useful segment reflects a pattern of needs, not one isolated descriptor.

Customer Heterogeneity: A Fundamental Market Reality

- Different customers evaluate the same offer with different priorities and constraints.
- Some differences remain hidden because the market does not yet provide meaningful alternatives.
- Observed behavior therefore gives an incomplete view of demand.
- Assuming uniform preferences leaves dissatisfied subgroups available to more focused competitors.
- Over time, the broad provider may lose its most attractive customers and retain customers who are expensive to serve.

Managers must decide which differences to recognize, which groups to serve, and which trade-offs to accept.

Latent Customer Heterogeneity

Potential differences in customer desires can exist before they appear in purchase data.

Why needs remain hidden

- **Legal:** regulation, licensing, and patents restrict available options.
- **Economic:** the group is too small or costly to serve with current economics.
- **Technological:** the desired solution cannot yet be produced or delivered.
- **Innovative:** no firm has framed the problem and proposed a workable offer.

Research implication

Do not infer "no demand" from "no purchase." Interviews, observation, experiments, and concept tests can expose preferences that transaction data cannot show.

Example: AirPods Pro Hearing Aid Feature

- Many adults with perceived mild to moderate hearing loss had needs that traditional purchasing patterns did not fully reveal.
- Regulatory access, cost, stigma, and the need for specialist fitting constrained how those needs appeared in the market.
- In September 2024, the FDA authorized the first over-the-counter hearing-aid software intended for compatible AirPods Pro headphones.
- A familiar consumer device created another way for an existing need to become visible and addressable.

Latent difference revealed

Some customers wanted hearing support that felt accessible, discreet, and integrated into a device they already used.

The example shows how regulatory and technological changes can reveal a previously constrained segment.

Source: U.S. Food and Drug Administration, 12 September 2024.

Agenda

01 Customer heterogeneity
The problem and its sources

02 **Evolution of approaches**
Mass, niche, and one-to-one marketing

03 STP and analytical tools
Segment, target, and position

04 Customer centricity
Organization and learning

05 Integrated framework
Inputs, outputs, and process

06 Takeaways
Managerial implications

Evolution of Approaches for Managing Customer Heterogeneity



The direction is toward smaller units of analysis. The governing trade-off remains customer fit versus the cost and complexity of variation.

Example: Spotify (Sweden)

- Listening history provides behavioral evidence about preferences at the individual level.
- Personalized playlists reduce search effort and help listeners discover relevant content.
- The same preference signals can help Spotify select recommendations, notifications, and advertising audiences.
- Personalization remains a testable hypothesis. Recommendations must still improve engagement without becoming repetitive or intrusive.

From segment to individual

Traditional segmentation groups customers with similar needs. Spotify can update its view of one listener after every stream, skip, save, and search.

Data makes the unit smaller. It does not remove the need for a clear customer benefit.

Segmenting, Targeting, and Positioning (STP) Approach



Segment the market by needs. **Target** groups where the firm can create and capture value. **Position** the offer around a credible relative advantage.

Segmenting

Definition

- Customers within a group have similar needs.
- Needs differ meaningfully across groups.
- Needs and benefits should define the groups.
- Descriptors help identify and reach members after the groups exist.

Segmentation steps

1. Define the market and customer population.
2. Identify potential needs through qualitative research.
3. Measure those needs in a relevant sample.
4. Reduce overlapping questions when needed.
5. Group customers by similarity in needs.
6. Profile, name, and test whether the groups are actionable.

Factor Analysis

Input

UrbanCart asks 12 overlapping questions about convenience, product quality, value, and innovation.

Several questions measure the same underlying customer need.

→

Method core

- Explain correlations among observed questions with a smaller set of latent factors.
- Inspect KMO, Bartlett's test, communalities, and rotated loadings.
- Name factors from the questions that load strongly together.

Output

Four customer-level scores: convenience, quality, value, and innovation orientation.

Cluster Analysis

Input

Each UrbanCart customer now has four factor scores that summarize the pattern of needs.

The scores must be on comparable scales before distance is calculated.

→

Method core

- Customers in the same group should be close to one another.
- Customers in different groups should be separated.
- Hierarchical analysis explores candidate solutions. K-means refines a chosen solution.

Output

Four candidate groups with different need profiles, sizes, economics, and channel behavior.

Discriminant and Classification Analyses

Input

The research sample has segment membership plus observable characteristics such as age, income, spend, digital share, and discount usage.

→

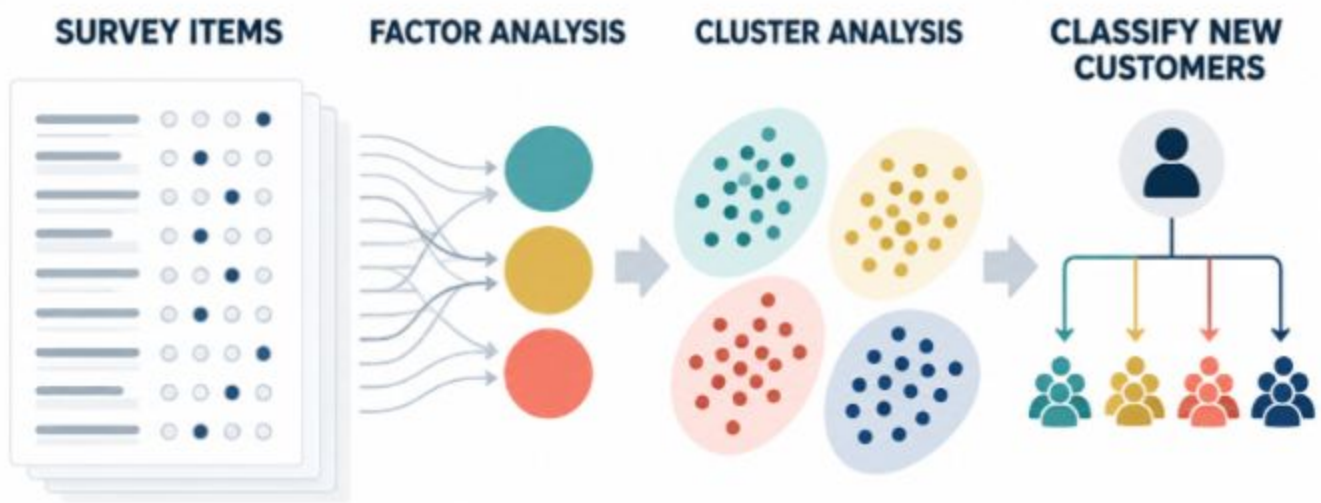
Method core

- Estimate combinations of observable variables that separate known groups.
- Use the functions to classify a new customer.
- Evaluate performance with a confusion matrix and cross-validation.

Output

A practical assignment rule and evidence about which descriptors distinguish each segment.

Example: UrbanCart Loyalty Redesign



Business problem

One loyalty program serves customers with very different reasons for shopping.

Analytical sequence

Compress needs, discover groups, then classify future customers.

Decision

Design differentiated benefits and determine which groups deserve investment.

Targeting

Targeting selects the segment or segments where the firm should concentrate its resources.

Market attractiveness

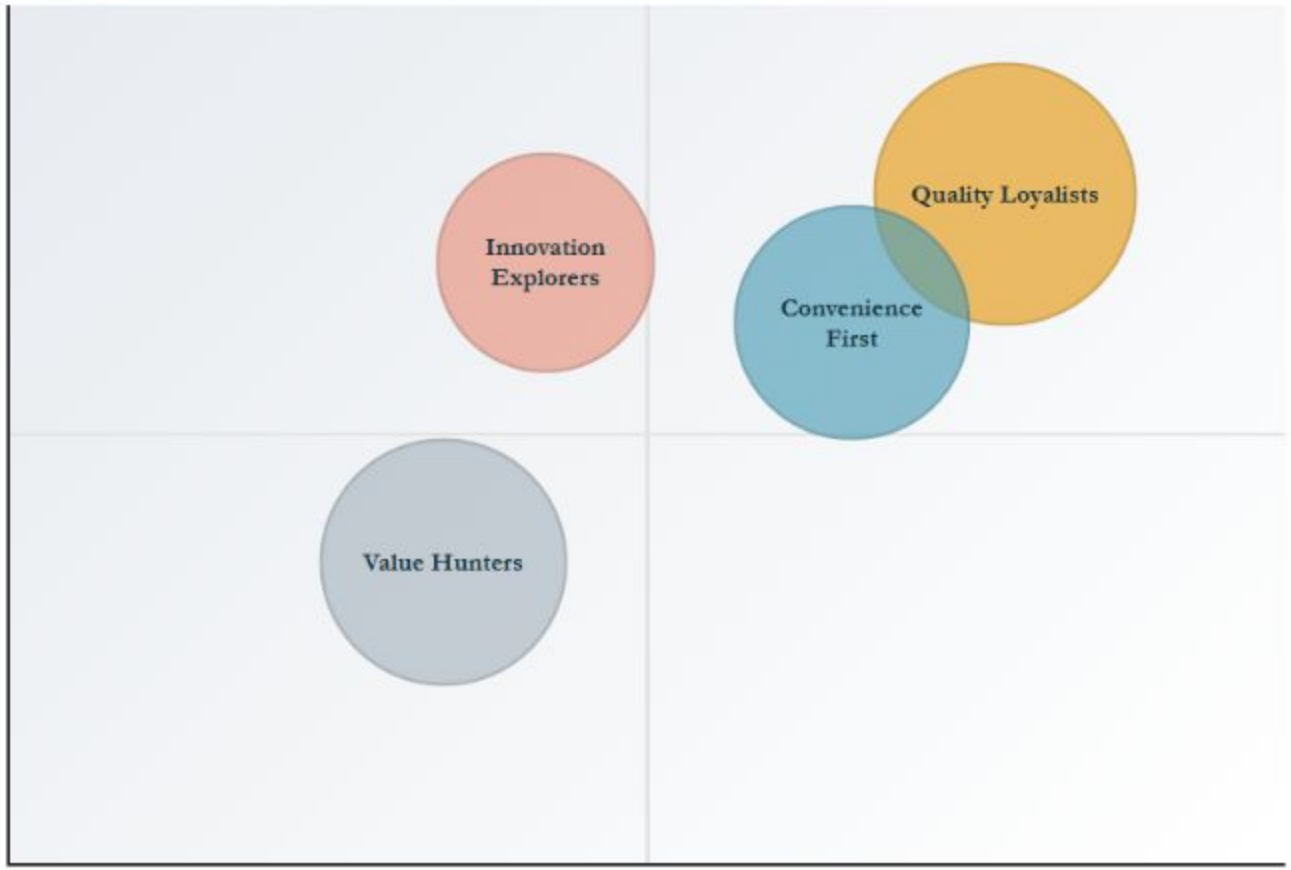
- Size and expected growth
- Willingness to pay and price sensitivity
- Cost to reach and serve
- Long-term value and sustainability

Competitive strength

- Fit with firm capabilities
- Relative benefit versus alternatives
- Credibility of supporting evidence
- Ability to identify and access customers

A large segment is not automatically attractive. An attractive segment is not automatically a good fit for the firm.

GE Matrix: Analysis Tool for Targeting



How to read the matrix

- Upper-right groups combine an attractive market with a strong firm position.
- Bubble area represents segment size or economic potential.
- Axis scores combine multiple measures and depend on explicit weights.
- Sensitivity analysis should test whether the recommendation changes when assumptions change.

Illustrative UrbanCart data.

Positioning

Positioning defines the relative advantage the firm wants target customers to associate with its offer.

- **Actual offer:** product, service, price, channel, process, and experience.
- **Customer perception:** communication, evidence, branding, reviews, and prior experience.
- **Competitive frame:** customers compare the offer with direct competitors and substitutes.
- **Implementation:** every marketing activity should reinforce the intended position.
- **Repositioning:** the firm changes the target, the promised benefit, or the evidence supporting the promise.

Perceptual Map: Analysis Tool for Positioning



Managerial use

- Axes represent customer perceptions, not management's internal view.
- Distance shows perceived similarity.
- An ideal point summarizes what the target group prefers.
- A gap can indicate an opportunity, but only if the firm can credibly occupy it.

Illustrative positions and brand names.

Positioning Statement Must Address Three Key Questions

01

Who?

Which customer group should the firm serve? Define the group precisely enough to guide decisions.

02

What?

Which need or benefit should the offer fulfill? Focus on the benefit that changes customer choice.

03

Why?

Why is this offer a better option than relevant competitors or substitutes? Provide credible support.

For [target customer], [offer] provides [priority benefit] because [evidence of relative advantage].

Evaluating a Positioning Statement

UrbanCart example

For time-pressed urban professionals, UrbanCart provides dependable weekly shopping with the least planning effort because its integrated inventory, scheduled delivery, and one-tap repeat ordering reduce uncertainty at every step.

Clear target?

Can employees recognize the intended customer and exclude others?

Important benefit?

Does the promise solve a need that affects choice?

Credible difference?

Can the firm deliver proof that competitors cannot easily match?

Customer-Centric Approach

Customer centricity places customer needs at the center of organizational decisions and uses continuing evidence to update those decisions.

- **Intelligence generation:** learn about current needs and emerging changes.
- **Intelligence dissemination:** move customer knowledge across functions instead of leaving it in marketing or sales.
- **Responsiveness:** change priorities, processes, and offers when the evidence warrants action.
- STP promotes external alignment with target customers. Customer centricity builds internal alignment around those customers.

What Does it Mean for a Firm to be Customer Centric?

Direction

Customer priorities shape the mission, investment choices, unit structure, and resource allocation.

Information

Frontline observation, research, customer councils, and shared data connect customer needs to decisions.

Measurement

Customer outcomes such as satisfaction, retention, share of wallet, and complaint resolution complement financial metrics.

Operating test

If two functions disagree, can they use the same customer evidence and target-segment priorities to resolve the trade-off?

Example: Sainsbury's (UK)

- Customer research highlighted product quality, ease of shopping, and access across channels as important drivers of choice.
- Responding required coordinated investment in assortment and quality, store access, and digital infrastructure.
- The example illustrates why customer centricity extends beyond marketing communication.
- Customer priorities must influence technology, operations, merchandising, and service design.

Three questions

1. What do customers value?
2. Which capabilities deliver it?
3. Which metric confirms improvement?

Customer-Centric Structures: Adoption, Conditions, and Payoff

Structural shift

Firms reorganize from product lines toward units responsible for distinct customer groups.

Adoption evidence

The study documents increasing use of customer-centric structures among large firms in its historical sample.

Conditions

Customer satisfaction can improve, while coordination costs rise. Competitive intensity and industry economics shape the net effect.

Dynamic payoff

Performance may fall during the learning period, then improve after new roles and information flows stabilize.

The reported payoff emerged after roughly 9 to 10 quarters on average. Reorganization should therefore be evaluated as a transition, not a one-period event.

Further reading: Lee, Sridhar, Henderson, and Palmatier (2015), *Marketing Science*

Agenda

01 Customer heterogeneity
The problem and its sources

02 Evolution and STP
Approaches and analytical tools

03 Customer centricity
Organization and learning

04 Integrated framework
Inputs, outputs, and process

05 Worked example
UrbanCart loyalty redesign

06 Takeaways
Managerial implications

Marketing Principle #1: All Customers Differ → Managing Customer Heterogeneity

Inputs: 3Cs

Customers: needs, descriptors, size, growth, and perceptions.
Company and competitors: strengths, weaknesses, opportunities, and threats.

Approaches and analyses

STP, customer centricity, perceptual maps, factor analysis, clustering, classification, and the GE matrix.

Outputs

Industry segments, target segments, and a positioning statement specifying who, what, and why.

The framework organizes evidence around a decision sequence. Each output becomes an input to later marketing choices.

Inputs to the Managing Customer Heterogeneity Framework

All potential customers

Needs, desired benefits, constraints, descriptors, behavior, segment size, growth, and perceptions of available offers.

Your company

Capabilities, resources, brand meaning, channels, cost structure, partnerships, and implementation constraints.

Your competitors

Target segments, offers, strengths, weaknesses, likely responses, and underserved customer needs.

Customer data defines the opportunity. Company and competitor evidence determines whether the firm can capture it.

Outputs of Managing Customer Heterogeneity Framework

01

Industry segmentation

Named groups, distinctive needs, useful descriptors, estimated size, and opportunity.

02

Target segment

The selected group, its economics, identification rule, priority needs, and fit with the firm.

03

Positioning statement

A concise direction for who the offer serves, what benefit it delivers, and why the difference is credible.

Describe

How can the market be represented as meaningful groups?

Choose

Which groups should receive scarce resources?

Align

Which offer and evidence should guide execution?

Process for Managing Customer Heterogeneity

1. **Discover:** identify the purchase attributes, constraints, and use situations that influence choice.
2. **Measure:** collect customer-level evidence on needs, behavior, outcomes, and useful descriptors.
3. **Segment:** reduce overlapping measures and group customers with similar patterns of need.
4. **Target:** compare market attractiveness with the firm's competitive strength and resource constraints.
5. **Position:** design an offer and supporting evidence around a credible relative advantage.
6. **Learn:** monitor customer response and update the groups, target choice, and position as the market changes.

Example of Managing Customer Heterogeneity

1. Segment

UrbanCart identifies Convenience First, Quality Loyalists, Value Hunters, and Innovation Explorers.

2. Target

Quality Loyalists combine high value, strong fit, and credible service advantages. Convenience First offers a second growth path.

3. Position

UrbanCart promises dependable quality with informed service and easy issue resolution.

4. Organize

Merchandising, service, loyalty benefits, and metrics align around the priority group.

Positioning direction

For customers who value dependable quality and expert help, UrbanCart provides a trustworthy shopping experience because its curated assortment and responsive service reduce the risk of a poor purchase.

Agenda

01 Customer heterogeneity
Why differences matter

02 Evolution and STP
How firms manage differences

03 Customer centricity
How organizations keep learning

04 Integrated framework
Inputs, outputs, and process

05 Worked example
UrbanCart loyalty redesign

06 **Takeaways**
What to retain from Week 2

Takeaways

- Customer heterogeneity is present even when available products or observed behavior make the market appear uniform.
- Needs and benefits should define segments. Descriptors help the firm identify and reach their members.
- Factor analysis summarizes related needs, cluster analysis discovers groups, and classification helps assign new customers.
- Targeting combines market attractiveness with the firm's competitive strength and resource constraints.
- Positioning specifies the target customer, priority benefit, and credible reason to choose the offer.
- Customer centricity keeps customer evidence connected to organization-wide decisions after the initial STP project.

Adapted from Palmatier and Sridhar, *Marketing Strategy: Based on First Principles and Data Analytics*, Chapter 2.